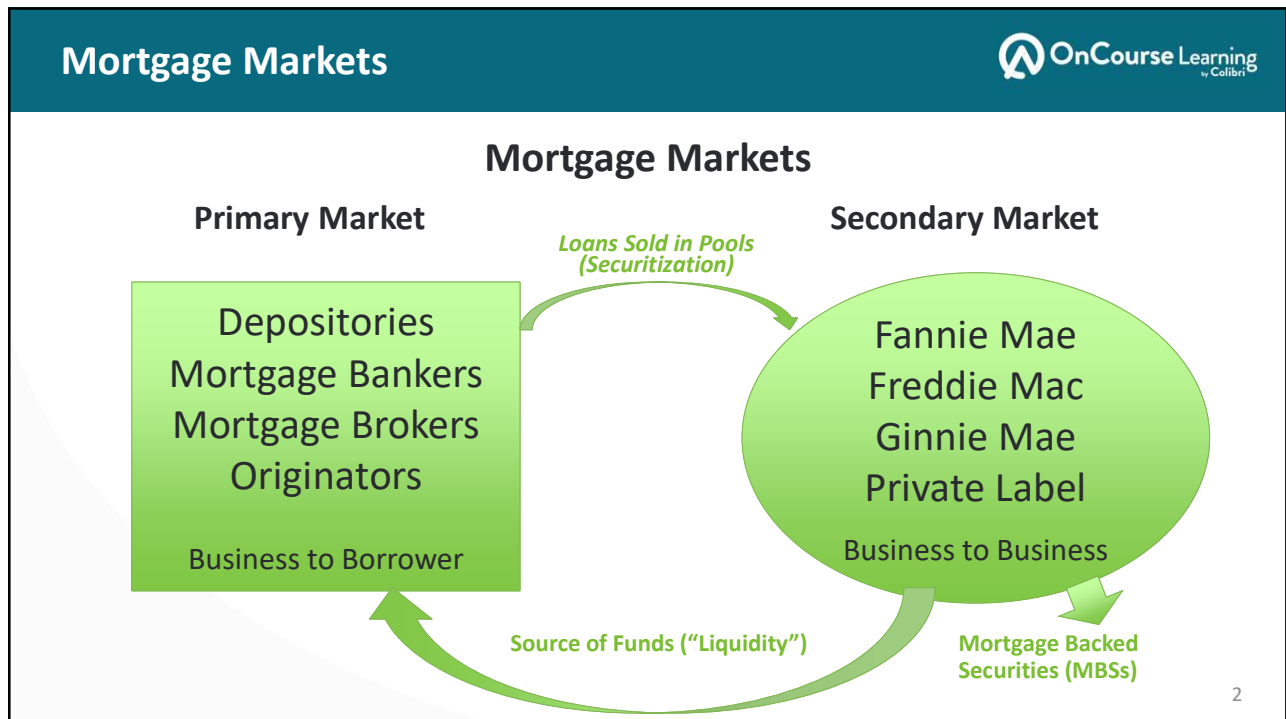




Specific Loan Program Characteristics



DAD: NON-CONVENTIONAL LOANS			MOM: CONVENTIONAL LOANS	
FHA	VA	USDA	CONFORMING	NON-CONFORMING
Insures Loans	Guarantees Loans	Guarantees Loans	Fannie & Freddie Buy Loans	Make their own rules
500 minimum credit score	No minimum credit score	No minimum credit score	620 minimum credit score	Minimum credit score varies
3.5% minimum downpayment with 580+ credit score 10% minimum downpayment with 500-579 credit score (10% DP+ get 11 yrs MMIP)	No downpayment required (only available to eligible veterans and/or spouses)	No downpayment required (income limit and property must be rural)	3% minimum downpayment	Downpayment varies by program (types of non-conforming conventional loans include Jumbo Loan, Alt-A Loans, Sub-Prime Loans, and Private Money)
Mortgage Insurance Premium (MIP) always required (UFMIP & MMIP)	Funding Fee (upfront)	Guarantee Fee (upfront and annual)	Private Mortgage Insurance (PMI) required above 80% LTV (terminated at 78% LTV)	Private Mortgage Insurance (PMI) usually not collected
Fixed & ARMs	Fixed & ARMS (but nothing that adjust in less than 3 yrs)	Fixed Rates Only	Fixed & ARMs	Fixed & ARMs
31/43	41	29/41	28/50	Ratios vary by program
Seller Concessions limited to 6%	Seller Concessions limited to 4% + bona fide discount points	Seller Concessions limited to 6%	<10% down – 3% 10%-24.99% down – 6% 25%+ down – 9%	Varies by program

RESPA Memory Chart



R	E	S	P	A
Referrals	Escrows	Servicing	Purchase Book	ABA Disclosure
- Illegal to give/receive "thing of value" - T.O.W. it! *<u>T</u>hing of value? *<u>O</u>ffer/acceptance? *<u>W</u>ork performance? - \$10k/1 year	- To prevent over collecting when establishing escrow accts - 3 ways: *2 mo. cushion *\$50/30 days *Analysis - Disclosures: *Initial Escrow Statement *Annual Escrow Statement	- Servicing Transfer Notice - 15/15/60	- AKA Special Information Booklet - Due 3 business days from completed application (ALIENS) - Only 1 per transaction	- Due at the time of referral - Must contain: *% of ownership *Cost of service *Not required to use referral – "FREE TO SHOP"

TILA DRIVEZ A CAR



C

Cost / terms of Credit

- *APR = cost of credit expressed as %%%
- *FINANCE CHARGE= cost of credit as \$\$\$
- Must redisclose if:
- **APR varies > 1/8 of 1% on a regular loan or (.125%)
- ** Finance Charges **increase** > \$100

A

Advertising

- Use of a **TRIGGER TERM** requires additional info pertaining to the promotion
- ****TRIGGER TERMS: #PDF**
- # of payments, Payment amt, Down payment, Finance charge
- **RETENTION = 24mo.

R

Rescission

- *3 BUSINESS days to "void" a contract
- *EXCLUDE Sundays/Fed Holidays
- ***REFI of a PRIMARY DWELLING**
- ***2 COPIES** of RIGHT TO CANCEL to everyone w/ ownership
- *Only takes **ONE** person to cancel
- *3 YEAR RECISSION allowed for material failure

Finance Charge?



YES

C.O.I.M.

- C** = Closing agent fee, Settlement fee
- O** = Origination fee, Processing fee
- Underwriting, Loan commitment
- Application fee
- I** = Interest & anything associated
- Rate lock fee
- Discount point
- Per diem
- Prepaid Interest
- M** = Mortgage broker fee
- PMI
- MIP

or

NO

CASH Transaction

- *Appraisal
- *Inspection
- *Hazard insurance
- *Title insurance, search, survey
- *Home warrant
- *Pest Inspection
- *Property taxes
- *Deed prep
- *Notary
- *Recording fee
- *Wire fee
- *CREDIT REPORT FEE

Education



SAFE ACT Education

L = Laws **E** = Ethics ***N** = Nontraditional Products

PE = 20hrs Educ. →

L	E	N
↓	↓	↓
3	3	2

CE = 8hrs Educ. →

L	E	N
↓	↓	↓
3	2	2

Disclosures



Application	Before Closing	Closing	After Closing
• LE: 3-X, Z • CHARM: 3-Z • Purchase BK: 3-X • Right to Receive Appraisal: 3-B • Privacy/Opt Out: at time of relationship-P • SSP list: 3 / Z X • HUD Counselor list: 3 / X	• ABA: at time of referral-X • CD: 3 PTC-X, Z • Notice of Action: 30 days from ALIENS-B	• Right to Cancel: Z • HPA disclosures (cancel PMI) • Initial Escrow Statement: X	• Transfer: 15 days prior-X • Annual Escrow Statement: X • Annual PMI Notice • Annual Privacy/ Opt Out: P

FCRA